HONG KONG BANKS

Addressing FAQs on Hong Kong deposits and Mainland China cross-border investment

In short: Shares in HSBC and STAN have underperformed the SX7P by 5%/7% since 21 May (at time of writing), in our view reflecting investor concerns of a slowdown in Hong Kong deposit flows, and potentially more limited engagement with Mainland China clients. In our view, this underperformance does not correspond with the potential earnings impact from measures and changes already announced, but could more likely be a reflection of uncertainty regarding potential future policy changes. While we take no view on the final outcome of recently announced regulations and await further details — as a sensitivity, even in a scenario where Group net new money were to slow down by 10% (as a proxy for the share of NNM originating from onshore mainland China), even assuming a ~300bp margin on these flows (HIBOR currently at 2.7%), this would equate to only ~1%/2% of PBT for HSBC/STAN, on 2025 numbers. Following on from our earlier note, we address recent investor FAQs on Hong Kong deposits and cross-border investment below.

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Recap: What measures have been announced so far?

1. On 22 May, the China Securities Regulatory Commission announced regulatory controls on online brokers and related fines, while the Hong Kong Monetary Authority issued a circular, aimed at strengthening account opening procedures and compliance requirements, reinforcing existing rules around investment accounts and the source of funds. Standard Chartered's CFO highlighted at our conference last week (see full transcript here) that their **existing policies were directionally aligned** with these circulars, while there were several incremental action items including closing legacy zero balance accounts and gaining client attestations regarding sources of funds. Overall, while the additional attestations may add a layer of friction, **we do not anticipate a material impact for either HSBC or STAN.** Indeed, per press reports of 9th June, the HKMA has indicated that for Hong Kong-based banks, the necessary system upgrades have been completed, with account opening services having continued in a smooth manner.
2. On 1 June, China's State Council released a decree regulating cross-border investment. Our economists highlight that the timing likely relates to the government's recent blocking of the Meta-Manus deal, while specifically focussing on establishing frameworks for regulating cross-border technology transfers, supporting Chinese companies going global, and managing operational

and geopolitical risks associated with Chinese businesses and assets abroad. The primary concern of policymakers, our economist argues, revolves around monitoring and **managing cross-border technology** and capital flows in an increasingly complex geopolitical environment, **rather than to reduce capital outflows**. The relevant angle for banks, however, may centre upon one specific article (#33), which stipulates that **investment in overseas financial markets shall be governed by the regulations, with detailed rules to be formulated separately.**

We do not yet have insight onto what form these rules may take — however, we note that the **share of NNM which comes directly from onshore sources in mainland China** (i.e., not generated offshore to begin with) accounts for the **vast minority of NNM flows for HSBC and STAN**, in our view limiting the ultimate earnings impact.

What could the financial impact be on HSBC and Standard Chartered?

- **Looking specifically at deposits**, based on comments from HSBC and Standard Chartered, we understand that (as a rough proxy) for a typical mainland Chinese resident who holds an account in Hong Kong, ~90% of the deposit flow comes from "offshore" sources (e.g. Singapore, or elsewhere in Hong Kong), while only ~10% comes from a mainland China bank account. In 2025, total net new money for HSBC was c.$86bn and c.$52bn for STAN. At our recent conference, STAN's CFO flagged that ~30% of their net new money was from Global Chinese, with the vast majority of that money already sitting offshore.
- **Quantifying potential headwinds:** As a result of the information outlined above, assuming that ~10% of Group NNM is from onshore sources in mainland China — were we to assume as an adverse scenario that this future NNM flow stopped entirely, this 10% reduction in NNM would equate to c.$9bn/$5bn for HSBC/STAN, all else equal.
  - **For each 100bp margin earned on this net new money, this equates to 0.3%/0.7% of 2025 PBT for HSBC/STAN — as a result, even assuming a 300bp margin (with HIBOR at 2.7% currently), this would equate to ~1%/2% of PBT for HSBC/STAN p.a.**
- **With regard to insurance and investment products**, we currently do not consider there to be any impact as they are currently out of scope or in line with pre-existing rules, and a more restrictive approach to either product set would not necessarily align with **a)** the focus of regulating cross-border technology transfers, or **b)** the desire to support RMB internalisation, and **c)** the continued development of Hong Kong as a hub for outbound and inbound investment.
- For context, as highlighted in our prior note, wealth income for Standard Chartered and HSBC accounts for roughly one third of operating income. For HSBC, wealth fees from its disclosed HK segment (which likely excludes insurance) contribute to approximately one fifth of total wealth fees and c.2-3% of group operating income (as per their HK divisional disclosure), while for STAN, Hong Kong wealth contributes c.40% of total wealth income. While HSBC and STAN note that a significant proportion of new-to-bank clients are non-resident in Hong Kong, net new money is increasingly sourced from global Chinese clients (with offshore wealth).

Valuation and key risks

We value HSBC using a target multiple of 12.0x applied 75%/25% to 2027/28E estimates to arrive at 12-month target prices of GBp1,700, while using a 2-stage dividend discount model for 0005.HK to arrive at a 12-month price target of HK$165. We are Buy rated (HSBA.L on Conviction List). Risks to our rating and price target include: 1) Weaker-than-expected Banking NII, including faster-than-expected Fed rate cuts, or a widening gap between HIBOR and Fed rate; 2) Slower-than-expected non-NII growth, including a potential slowdown in global trade or increased competition from peers; 3) Reversal/pause of positive operating efficiency trajectory if simplification efforts are impacted adversely.

We value STAN using a target multiple of 10.25x applied 75%/25% to 2027/28E estimates to arrive at 12-month target prices of 2,260p, while using a 2-stage dividend discount model for 2888.HK to arrive at a 12-month price target of HK$242. We are Buy rated. Downside risks to our view and price target include reversal/pause of positive jaws delivery, slower-than-expected non-interest income growth, lower-than-expected net interest income growth.

Disclosure Appendix

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We, Chris Hallam, Melissa Kuang, CFA, Benjamin Caven-Roberts, Sachin Nayar and Wayne Wang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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Global	50%	34%	16%	65%	60%	45%

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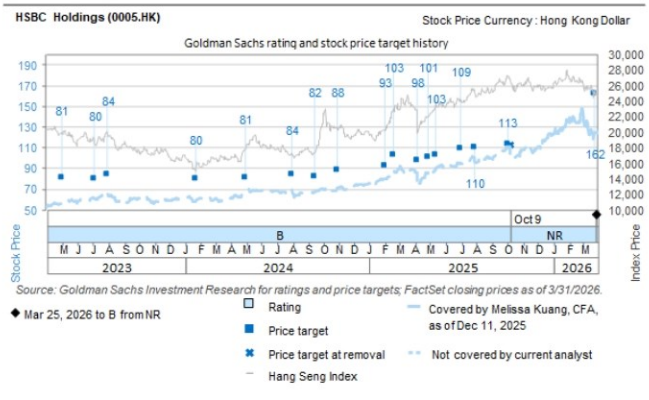
Price target and rating history chart(s)



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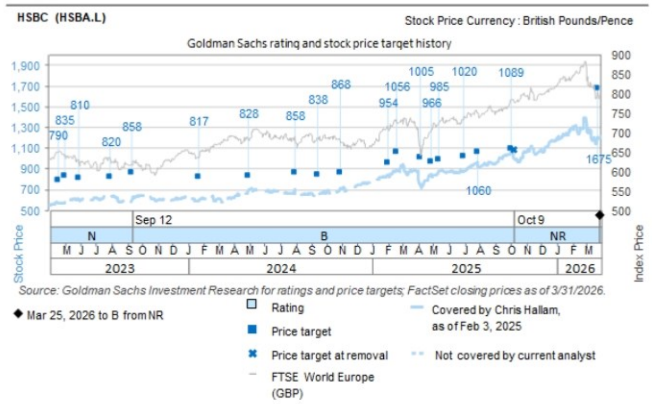

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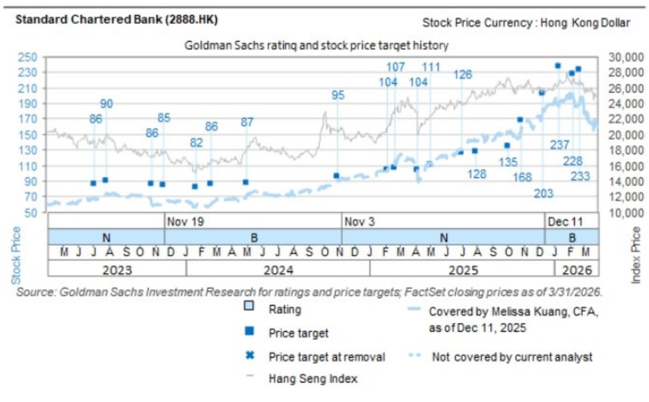

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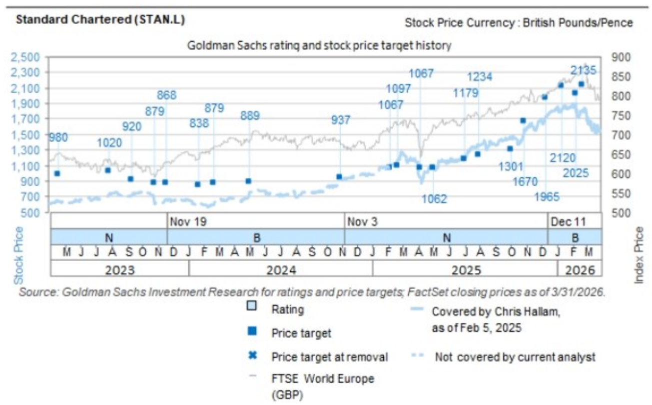

The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

Standard Chartered Bank (2888.HK)

Date of report	Target price (HK$)	Closing price (HK$)
22-May-26	242.00	204.00
30-Apr-26	243.00	190.80

HSBC (HSBA.L)

Date of report	Target price (£)	Closing price (£)
05-May-26	1,700	1,279.8
10-Apr-26	1,650	1,340.2

Standard Chartered Bank (2888.HK)

Date of report	Target price (HK$)	Closing price (HK$)
21-Apr-26	237.00	192.40
24-Feb-26	233.00	197.90
09-Feb-26	228.00	202.00
13-Jan-26	237.00	191.60
11-Dec-25	203.00	177.00
30-Oct-25	168.00	159.50
03-Oct-25	135.00	152.60
31-Jul-25	128.00	142.00
04-Jul-25	126.00	130.30
02-May-25	111.00	113.60
07-Apr-25	104.00	91.50
21-Feb-25	107.00	116.00
05-Feb-25	104.00	103.60
30-Oct-24	95.00	90.75
02-May-24	87.00	71.95
23-Feb-24	86.00	62.45
23-Jan-24	82.00	58.00
19-Nov-23	85.00	61.30
26-Oct-23	86.00	59.75
28-Jul-23	90.00	74.50
06-Jul-23	86.00	66.55

HSBC (HSBA.L)

Date of report	Target price (£)	Closing price (£)
25-Mar-26	1,675	1,211.4
03-Oct-25	1,089	1,061.8
30-Jul-25	1,060	926
02-Jul-25	1,020	885.3
13-May-25	985	876.1
29-Apr-25	966	855.6
07-Apr-25	1,005	737.8
19-Feb-25	1,056	895.4
02-Feb-25	954	845.7
29-Oct-24	868	713.7
14-Sep-24	838	658.7
31-Jul-24	858	704
30-Apr-24	828	695.6
23-Jan-24	817	598.8
12-Sep-23	858	597.3
01-Aug-23	820	654.9

HSBC Holdings (0005.HK)

Date of report	Target price (HK$)	Closing price (HK$)
05-May-26	165.00	136.00
10-Apr-26	160.00	139.70
25-Mar-26	162.00	125.00
03-Oct-25	113.00	109.90
30-Jul-25	110.00	96.95
02-Jul-25	109.00	95.25
13-May-25	103.00	89.65
29-Apr-25	101.00	88.35
07-Apr-25	98.00	73.40
19-Feb-25	103.00	88.40
02-Feb-25	93.00	79.95
29-Oct-24	88.00	71.60
14-Sep-24	82.00	67.30
31-Jul-24	84.00	69.95
30-Apr-24	81.00	67.00
23-Jan-24	80.00	59.20
01-Aug-23	84.00	66.30
06-Jul-23	80.00	61.00

Standard Chartered (STAN.L)

Date of report	Target price (£)	Closing price (£)
30-Apr-26	2,260	1,862.8
21-Apr-26	2,165	1,806
24-Feb-26	2,135	1,789
09-Feb-26	2,025	1,899
13-Jan-26	2,120	1,832
11-Dec-25	1,965	1,717
30-Oct-25	1,670	1,571
03-Oct-25	1,301	1,467
31-Jul-25	1,234	1,360.5
04-Jul-25	1,179	1,207
02-May-25	1,062	1,096.5
07-Apr-25	1,067	937.2
21-Feb-25	1,097	1,183
05-Feb-25	1,067	1,074
30-Oct-24	937	912.6
02-May-24	889	756
23-Feb-24	879	635
23-Jan-24	838	605.8
19-Nov-23	868	660
26-Oct-23	879	625.2
12-Sep-23	920	725.4
28-Jul-23	1,020	737.6

Price targets shown in table(s) are unadjusted for corporate actions.

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